

# Building an Agile Procurement Organization

## Technology and organizational design best practices and enablers

By Laura Gibbons and Christopher Sawchuk

### EXECUTIVE SUMMARY

The Hackett Group's recent survey on agility in procurement found that 100% of procurement organizations believe this is an area where they have room for improvement. Their top-ranked technology-related agility improvement initiatives include consolidating business applications (e.g., the use of source-to-settle suites), moving applications to the cloud, and developing technology expertise within the function. Among service design best practices that promote agility, establishing end-to-end value-stream process design, and utilizing customer-centric design tools and methods are rated highest. Making use of these best practices allows procurement organizations to increase their flexibility when facing external disruptions (competitive, geopolitical, regulatory or otherwise), which in turn increases their value to the company.

### INTRODUCTION: MANAGING PROCUREMENT'S TOP OBJECTIVES

As companies navigate digital transformation initiatives and an increasingly competitive economic environment, business agility is essential. Indeed, it ranked as the fourth-highest priority among companies responding to The Hackett Group's 2019 Key Issues Study (Fig. 1 on next page).

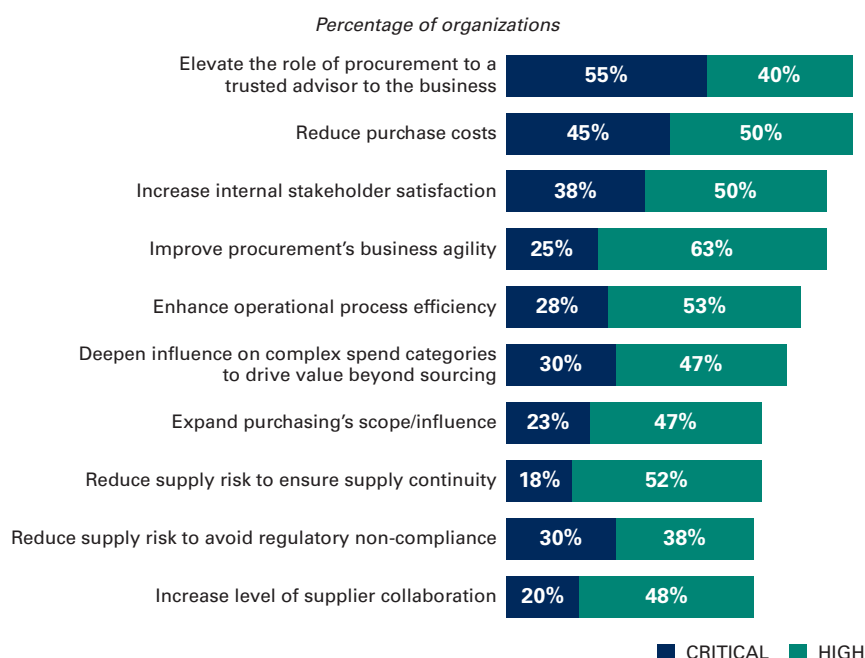
Furthermore, agility is related to each of the three priorities rated higher: As procurement organizations prove they're agile, they will flourish, because companies will start to see them as a trusted advisor; reduced purchase costs ensures that procurement is already as lean as possible, a plus during times of

organization-wide cost-cutting (often the case during the external disruptions mentioned above); and increasing stakeholder satisfaction means that morale has a higher place to fall from during times of turmoil.

### HOW AGILITY CAN ENABLE PROCUREMENT OBJECTIVES

To understand why greater agility is a strategic and competitive benefit and thus worth cultivating, it's necessary to first understand precisely what agility means. The Hackett Group defines it as "the ability to anticipate or sense changes in business conditions, and swiftly make and implement effective decisions in response to these changes."

**FIG. 1 Top 10 objectives for procurement in 2019**



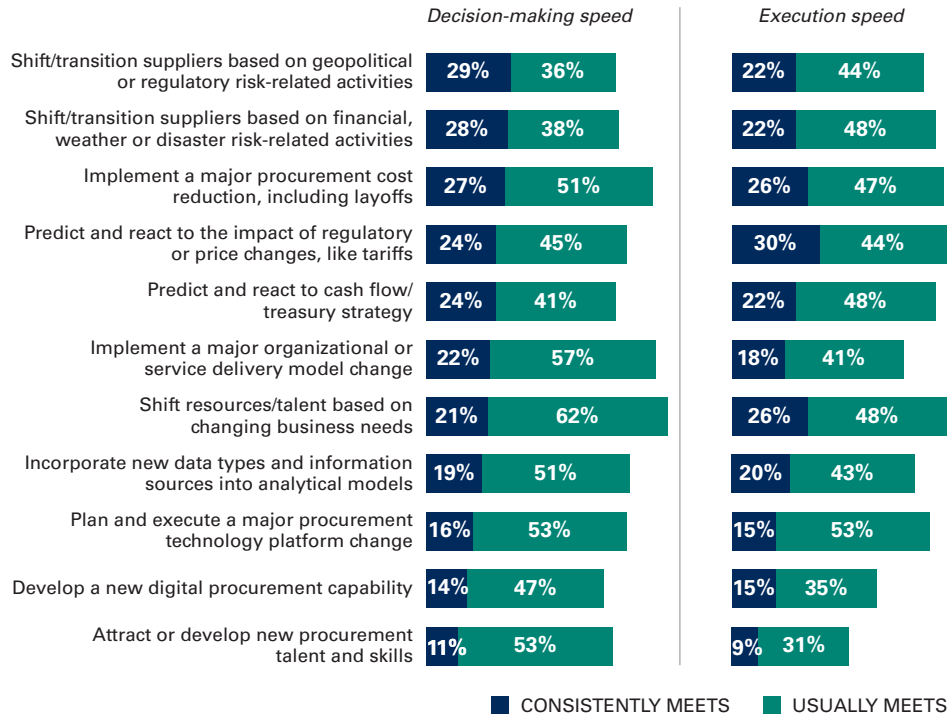
Source: Key Issues Study, The Hackett Group, 2019

In a procurement context, agility means minimizing and mitigating risk, specifically supply chain risk. This applies to indirect procurement but has the highest impact and meaning in direct procurement. What agility means in procurement varies by organization, but some capabilities are broadly applicable. That said, the list

below is far from exhaustive. The capabilities listed are not necessarily new to procurement organizations. The bigger question is, how fast are agility-related decisions made and actions executed? Participants in our study confirmed that they are able to meet business expectations for agility most of the time, as

| Capability                                                           | Description/examples                                                                                                                                                       |
|----------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Transition orders quickly to backup suppliers</b>                 | Identifying, vetting, and establishing relationships with suppliers that could be used in the event of shortages with primary suppliers                                    |
| <b>Mitigate external risk factors</b>                                | Maintaining accurate records of suppliers' financial health, creditworthiness, and overall solvency to ensure ability to meet demand                                       |
|                                                                      | Actively monitoring geopolitical, weather, and tier II supplier data where operations may be affected, ensuring contingency plans are in place in the event of occurrences |
|                                                                      | Actively monitoring regulatory compliance throughout supply chains                                                                                                         |
|                                                                      | Working closely with IT organization to ensure protection from nefarious entities and maintain cybersecurity health                                                        |
| <b>Expediently transition team to new roles and responsibilities</b> | Maintaining cross-functional training programs, ensuring no single person has the only "key to the kingdom"                                                                |
|                                                                      | Ensuring in the event of expansion or downsizing actively preparing for re-organization                                                                                    |
| <b>Prepare for merger and acquisition activity</b>                   | Maintaining detailed mapping of processes and procedures on file                                                                                                           |
| <b>Prepare for disruption</b>                                        | Actively preserving a relationship with R&D organization to rapidly onboard procurement to new products or services in the event of competitive disruption                 |
| <b>Plan for internal finance/treasury objectives</b>                 | Identifying prospective action plans in the event of cash surplus or shortages, or exchange rate fluctuations (such as suppliers in different geographies)                 |

**FIG. 2 Procurement's ability to meet business-agility expectations: Decision-making and execution speed**



Source: Agile Operating Model Survey, The Hackett Group, 2019

shown in Fig. 2. Situations include changing suppliers, implementing major cost reductions, and predicting and reacting to regulatory or price changes such as tariffs. This makes sense, as these capabilities are core to the procurement function.

On the other hand, the capabilities organizations are least often able to deal with quickly tend to involve technology and talent: planning and executing major platform changes, developing new digital capabilities, and attracting/developing new talent and skills. Ways that procurement can utilize technology and organizational design to increase its agility will be covered more thoroughly in the sections that follow.

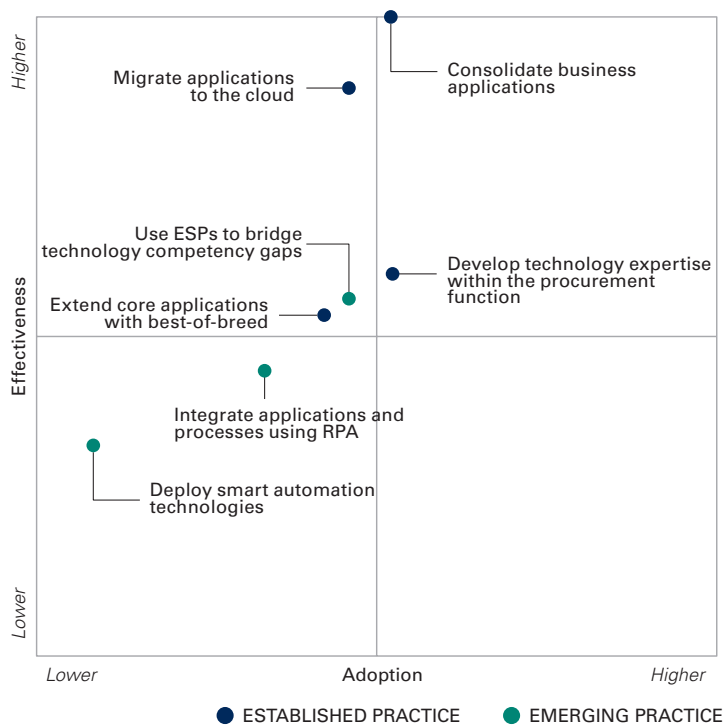
### THE ROLE OF TECHNOLOGY IN INCREASING AGILITY

Some of the biggest hurdles to increasing agility in the procurement function involve technology (Fig. 3 on next page). Digital transformation is something that is on every company agenda. It can also be a cornerstone for building a more modern and agile procurement organization. For most, at a high level, this involves modernizing technology to increase capabilities such as those detailed in Fig. 2.

Respondents to our agility study reported that the following are among the most effective established technology practices:

- **Consolidating business applications (e.g., by using source-to-settle suites):** Visibility into procurement data (spend, supplier, etc.) is increased, as consolidated applications can easily communicate with each other. A less complex infrastructure also costs less and lets organizations make large-scale updates faster.
- **Migrating applications to the cloud:** Cloud applications tend to be more flexible, scalable, secure and accessible by stakeholders, all of which contribute to increased agility.
- **Developing technology expertise within the procurement function:** Procurement staff who can function independently of the IT organization can act quicker and make more informed decisions, while keeping procurement priorities in mind. This does not mean dedicating an IT resource to procurement, but rather, ensuring that appropriate procurement staff have a fundamental understanding of emerging technologies and their applications in source-to-settle.

**FIG. 3 Agile technology practices: Adoption and effectiveness**



Source: Agile Operating Model Survey, The Hackett Group, 2019

These practices are also among the most widely adopted, which only promotes their credibility as a larger set of companies are reporting benefits. Considered less effective are using best-of-breed applications, RPA solutions and smart automation technologies (i.e., cognitive, chatbots). However, it bears mentioning that these practices are still emerging and thus not as widely

adopted. This is particularly true for smart automation. Only now are companies starting to test these technologies, making it too early to fully assess their effectiveness.

Beyond overarching technology best practices, specific types of technology and functionality can increase agility. These are detailed below.

| Technology or feature                                                    | Effect on agility and use cases                                                                                                                                                                                                                                                                                               |
|--------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>B2B/many-to-many marketplace</b>                                      | Increases the ability to quickly identify, vet and replace suppliers. In the event suppliers need to be replaced, pre-validated sets of suppliers can be immediately used without the need for approval and onboarding.                                                                                                       |
| <b>SIM and market intelligence</b>                                       | Provides comprehensive information on supply sources and performance, including the ability to closely monitor performance and blacklists, and identify red-flag suppliers or vital alerts in category intelligence. This helps organizations get ahead of supply chain disruptions.                                          |
| <b>Artificial intelligence (AI) and robotic process automation (RPA)</b> | AI and RPA are applied to automate manual processes, increase efficiency, and reduce cycle time and decision-making speed. Included: RFx structuring, onboarding and renewal of suppliers, supplier credit validation, due diligence and communications, document analysis and validation, and supplier performance tracking. |
| <b>Internet of things (IoT)</b>                                          | Connects physical devices in real time to improve visibility of inventory, logistics and lead-time data. Real-time information on stock levels enables just-in-time ordering. This is extremely valuable in direct procurement, where lead times and stock levels are critical to the smooth flow of enterprise processes.    |
| <b>Advanced analytics</b>                                                | Increase information visibility, particularly in supply/demand and supplier performance. This permits continual optimization of the procurement function, along with reductions in cycle times and faster implementation of change.                                                                                           |

## THE ROLE OF SERVICE DESIGN IN INCREASING AGILITY

Technology is only as supportive of agility as the processes and people that enable it. Using data from our agility study, we plotted service-design practices by their effectiveness and adoption level (Fig. 4). This exercise uncovered the highest-ranked actions and methods for building agility into service design:

- **End-to-end value stream process design:** Moving beyond functional process design, to partnering with stakeholders to deliver timely support and end-to-end services, as well as setting up service centers that support source-to-pay, legal, IT and finance, allows procurement to reduce overhead and maintain a lean and efficient environment for implementing change. This practice is reported to be very effective but is still emerging, and thus not yet widely adopted.
- **Utilizing customer-centric design tools and methods:** When designing processes and service centers, and even when selecting applications, ensuring that customer-centric tools and methods are used maximizes adoption. That in turn magnifies the positive effects of new processes as well as the speed at which adoption occurs. When companies report unsuccessful transitions and implementations, it is usually because they did not

focus on user adoption. Although this practice is viewed as relatively more effective than others, it is not widely embraced yet.

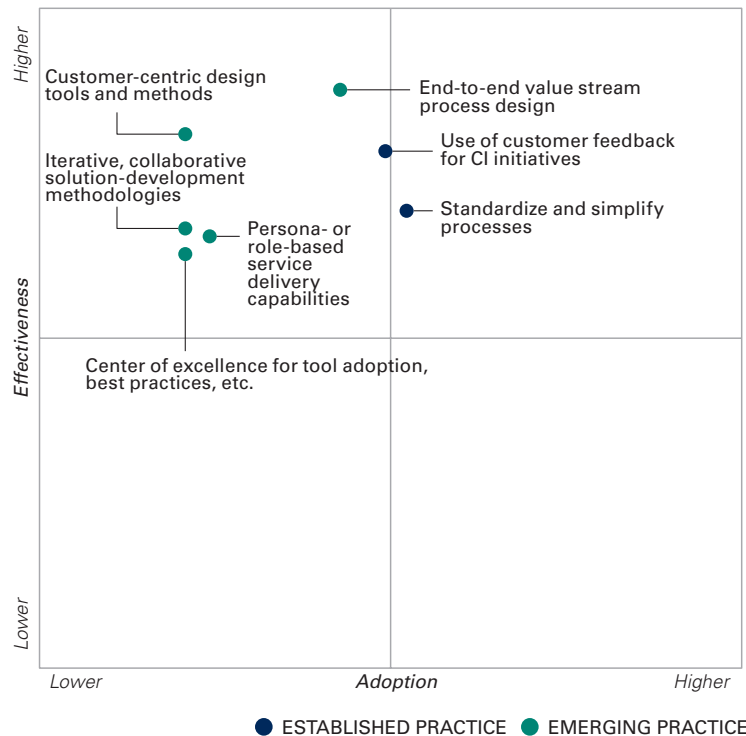
- **Use of customer feedback for continuous improvement initiatives:** Stakeholder insights are vital to ensuring that teams, processes and tools are at their maximum effectiveness. Heeding customer complaints can help organizations get ahead of problems before they worsen and lead to financial or reputational loss.

## CONCLUSION

Procurement organizations that want to increase their agility should consider the ways that technology and service design can help. When processes are designed around value streams and stakeholder needs (rather than simply to maximize efficiency and reduce costs), organizations are able to alter service design more quickly. When technology is cloud-based and applications are consolidated, rapid change is considerably easier to execute and manage.

Following the best-practice guidelines for technology and service design in procurement discussed in this report will provide a stable foundation during times of uncertainty and economic volatility.

**FIG. 4 Service design practices: Adoption and effectiveness**



Source: Agile Operating Model Survey, The Hackett Group, 2019

# About the Advisors



## **LAURA GIBBONS**

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Ms. Gibbons has 10 years of industry and consulting experience in areas such as procurement strategy, organizational and process design, digital transformation, strategic sourcing and category management. She previously worked in The Hackett Group's Strategy and Operations consulting practice, specializing in sourcing, procurement and supply chain. Before joining The Hackett Group, she worked in product development and strategy and operations at Groupon.



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Mr. Sawchuk leads The Hackett Group's global procurement advisory practice. He has over 20 years of experience in supply management, working directly with the Global 2000 and midsize companies around the world and in a variety of industries to improve all aspects of supply management, including process redesign, digital enablement, operations strategy planning, organizational change and strategic sourcing. Mr. Sawchuk specializes in working directly with CPOs to help define a long-term strategy. He is a regular contributor to business publications, a frequent presenter at industry events and author of numerous reports and books. Mr. Sawchuk's background includes engineering, operations and sales roles with both United Technologies and IBM.

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